

EXECUTIVE SUMMARY

E-Commerce Business Performance & Customer Analytics

1. Project Objective

The main objective of this project is to understand the performance of an e-commerce company.

The company has good revenue growth, but profit, customer retention, product performance, and marketing performance are not consistent.

This project helps to find the main business problems and suggest ways to improve the business.

2. Data Used

I used seven datasets for this project:

- Customers
- Products
- Orders
- Order Items
- Payments
- Returns
- Marketing Campaigns

I used **Excel** for data cleaning, **SQL** for data analysis, **Python** for analysis and charts, and **Power BI** for dashboards.

3. Main Findings

The analysis found the following important problems:

- **High discounts reduce profit.** Profit margin decreases from 38.8% to 25.4% when discounts increase.
- Some products have **high revenue but low profit.**

- About **7,055 customers are at risk** because they have not purchased for more than 90 days.
- **469 VIP customers are also at risk**, so they need special attention.
- The company has a **6.48% return rate**, mainly because of size/fit issues, changed mind, and quality issues.
- **Telangana and Delhi have lower revenue** compared with the other analyzed states.
- **Instagram has the highest marketing ROI**, while Google Ads has a much lower ROI.

4. Recommendations

Based on the analysis, the company should:

1. Reduce unnecessary discounts.
2. Improve low-profit products.
3. Bring back at-risk customers.
4. Give special offers to VIP customers.
5. Reduce product returns.
6. Review low-performing marketing channels.
7. Improve sales in weaker states.
8. Increase repeat purchases through loyalty programs.
9. Track important business KPIs regularly.

5. Conclusion

The analysis shows that the company should focus on **profitability and customer retention, not only revenue growth**.

By controlling discounts, improving products, reducing returns, retaining customers, and using marketing budgets effectively, the company can improve its overall business performance.